Editor's note: A judgment released on November, 12 2015, and appended to the original decision. The corrections were not integrated in the original judgment.

**CITATION:** Winters v. Haldimand, 2014 ONSC 5759
**COURT FILE NO.:** 01-5830
**DATE:** 2014/10/08

2014 ONSC 5759 (CanLII)

**ONTARIO**

**SUPERIOR COURT OF JUSTICE**

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|---|---|
| **B E T W E E N:** | |
| ERIC WINTERS, MARGARET WINTERS, LUCAS WINTERS, RACHEL WINTERS, SAMUEL WINTERS, JOYCE FLAHERTY, Executrix and Trustee under the Last Will and Testament of JOSEPH FLAHERTY, deceased, and JOYCE FLAHERTY | D.F. Smye and J.P. Cavanagh, for the Plaintiffs |
| Plaintiffs | |
| **- and -** | |
| THE CORPORATION OF HALDIMAND COUNTY, THE TOWN OF HALDIMAND, THE MUNICIPAL CORPORATION OF THE VILLAGE OF CAYUGA, GRAND ERIE DISTRICT SCHOOL BOARD | B. McCall and S.C. Handler, for the for the Defendants Haldimand County, Town of Haldimand and Village of Cayuga |
| Defendants | |

**COSTS RULING**

**PARAYESKI J.**

[1] Following trial, I reserved my decision on liability (the parties having agreed upon damages). In my reasons, I dismissed the plaintiffs' claims, and invited written submissions in

the event that costs were not agreed upon. No such agreement was reached. I have received and reviewed the written submissions provided. What follows is my decision on costs.

[2] *Prima facie*, the defendants were successful at trial, and, as such, are entitled to their costs.

[3] The parties exchanged formal offers to settle. The plaintiffs' offer was for damages of $749,000.00, inclusive of prejudgment interest, plus partial indemnity costs. The defendants' offer was for dismissal of the action without costs. Using the hindsight inherent in analyzing costs, the plaintiffs would have been better off accepting the defendants' offer than they were in proceeding to trial.

[4] The application of Rule 49.10 would ordinarily lead to the defendant not being obliged to pay any costs, and being entitled to their costs for the period of time that follows the making of their offer. However, as was recognized by McCarthy, J.A. in *S & A Strasser Ltd. v. Richmond Hill (Town)*, reported at [1990] O.J. No. 2321 and cited by P. Lauwers, J. in *Greenhalgh v. Duoro-Dumm (Township)*, reported at [2011] O.J. No. 1657, Rule 49.10 has no application where the plaintiff is totally unsuccessful. In that circumstance, the defendants are notionally entitled to costs throughout the action, i.e. not just after the making of their offer to settle.

[5] The general principles of the costs regime in Ontario are well summarized by P. Lauwers, J. in the *Greenhalgh v. Duoro-Dumm (Township)* cited above, at paras. 6 and 7. Those paragraphs read as follows:

> 6. The general principles in awarding costs are well known. *In DUCA Financial Services Credit Union Ltd. v. Bozzo*, 2010 ONSC 4601, [2010] O.J. No. 3758, Cumming J. noted at para. 5:
>
> > Costs are in the discretion of the Court: s. 131, *Courts of Justice Act*, R.S.O. 1990, c. C. 43 and Rule 57.01 of the Rules of Civil Procedure. In Ontario, the normative approach is first, that costs follow the event, premised upon a two-way, or loser pay, costs approach; second, that costs are awarded on partial indemnity basis; and third, that costs are payable forthwith, i.e. within 30 days. Discretion can, of course, be exercised in exceptional circumstances to depart from any one or more of these norms.
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> 7. The Court of Appeal canvassed the relevant principles in *Davies v. Clarington (Municipality)* (2009), 100 O.R. (3d) 66 per Epstein J.A. at paras 51 and 52:
>
> > As can be seen, the overriding principle is reasonableness. If the judge fails to consider the reasonableness of the costs award, then the result

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> can be contrary to the fundamental objective of access to justice. Rather than engage in a purely mathematical exercise, the judge awarding costs should reflect on what the court views as a reasonable amount that should be paid by the unsuccessful party rather than any exact measure of the actual costs of the successful litigant. In *Boucher* [*Boucher v. Public Accountants Council for the Province of Ontario* (2004), 71 O.R. (3d) 291, [2004] O.J. No. 2634 (C.A.)], this court emphasized the importance of fixing costs in an amount that is fair and reasonable for the unsuccessful party to pay in the particular proceeding at para. 37, where Armstrong J.A. said "[t]he failure to refer, in assessing costs, to the overriding principle of reasonableness, can produce a result that is contrary to the fundamental objective of access to justice."

[6] Of course, justice is not advanced by considering the concept of "access to justice" in isolation. In *Anderson v. St. Jude Medical Inc.*, reported at (2006), 264 D.L.R. ($4^{th}$) 557, the Divisional Court points out that in setting costs, one must "seek to balance the indemnity principle with the fundamental objective of access to justice". The indemnity principle serves as a governor to discourage the bringing of claims with little or no merit.

[7] The defendants ask for partial indemnity costs totally $139,615.42, made up of fees, including taxes, of $76,944.27, plus disbursements, including taxes, of $62,671.15.

[8] In addition, the defendants ask that any costs award be payable by the plaintiffs either on the basis of joint and several liability, or, alternatively, on some proportional basis as between the "main" plaintiff Eric Winters and the *Family Law Act* and OHIP claimants.

[9] The plaintiffs argue that: a) no or reduced costs should be payable in the circumstances of this case and b) if costs are to be awarded, then those submitted are unreasonably high.

[10] The plaintiffs' first position is based upon the sad circumstances present here and the alleged impecuniosity of the plaintiffs. Eric Winters became a paraplegic at 16 years of age as a result of the accident that was the subject matter of this action. To his great credit, he has completed his education and is employed. Notwithstanding the assertions in the plaintiffs' costs submissions, there is little, if any, evidence of significant impecuniosity before me.

[11] While neither tragic circumstances or impecuniosity are enumerated as matters to be considered under Rule 57.02, they have been recognized, to varying degrees, as appropriate considerations under the broad discretion bestowed by the *Courts of Justice Act*.

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[12] The plaintiffs cite the decision of Sachs J. in *Byers (Litigation Guardian of) v. Pentex Print Masters Industries Inc.*, reported at [2002] O.J. No. 1403 as authority for the proposition that it is appropriate for a judge to take the tragic circumstances of a case into account when exercising his or her discretion as to costs. Sachs J. appears to base her statement that tragedy is such a factor upon the Ontario Court of Appeal decision in *Marchand v. Public General Hospital Society of Chatham*, reported at (2002) 51 O.R. (3d) 97. When considering costs, the appellate justices reviewed an undertaking and representation by defence counsel that no costs were being sought as a concession, which, together with "the tragic event that led to this case" as grounds to vary the costs order given at trial to provide that the plaintiffs not be obliged to pay any costs at all. I respectfully question whether it is appropriate to extract the tragedy element from this combination of factors and to apply it in isolation. To be sure, there is no such concession present in the case before me.

[13] There is case law on both sides of the impecuniosity issue. Ultimately, it is the duty of the court to strike a balance between permitting the impecunious to sue indiscriminately without any consequences to them, and preventing such litigants from pursuing legitimate claims. Some judges have endeavoured to achieve fairness by reducing the amount of costs that would otherwise have been ordered to be paid by a percentage. I am reluctant to do so based upon the limited evidence of impecuniosity to which I have already referred.

[14] In most cases, the parties obliged to pay costs are the subject of joint and several liability in respect to those costs. There is a body of case law which exempts *Family Law Act* claimants from such results on the basis that their claims are merely statutory and derivitory ones. In *Boyuk v. Loblaws Supermarkets Ltd.*, reported at [2007] O.J. No. 732, P.M. Perell J. accepted the plaintiff's counsel submission that "that if unsuccessful *Family Law Act* claimants are automatically exposed to costs, it would discourage family members from making those claims, although the legislation clearly intended that such claims are available to them". With respect, I fail to see how this blanket approach balances the indemnity principle with concerns over access to justice. In appropriate circumstances, some claims ought to be discouraged.

[15] Some judges have endeavoured to temper the effect of the joint and several rule upon plaintiffs whose claims are subordinate to that of the main plaintiff by dividing up exposure to costs in proportion to the damages being sought. That approach, in my view, achieves fairness and balance, provided that the exposure is still substantial enough to be meaningful.

[16] OHIP's exposure to costs, by operation of Section 39 of Regulation 552 under the *Health Insurance Act*, R.S.O. 1990, must be proportional to its subrogated claim. Here, that claim is roughly 2 percent of the agreed upon damages.

[17] The plaintiffs argue that the costs being sought by the defendants are excessive, and thus not reasonable. In summary, they assert that:

a) the fees asked for in respect of examinations for discovery is too high given that liability "was always the major issue";

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b) the use of senior counsel, junior counsel, and a law clerk [in preparation for and] at trial was duplicative; and

c) that disbursements claimed are excessive and reflect "much overlap and duplication between the defendants' experts".

[18] The defendants respond by pointing out that the action was extant for 11 years by the time trial was reached, and that the trial took up five days. They argue that there was extensive documentary and oral discovery, and that the income loss claim was complex given that Eric Winters was still in high school at the time of the accident, and was not yet in a fixed career path. They reject the plaintiffs' argument of duplication at trial, saying instead that appropriate delegation was exercised.

[19] I see some merit in the plaintiffs' assertion that there appears to be some overlap with respect to some of the expert disbursements. According to the defendants' reply costs submissions, Mr. Weldon was retained to quantify the cost of future care costs. An actuary seems to have been asked to do the same thing (see para. 7 and 9 of that reply). Also, I see no reason why it was reasonably necessary to retain both a labour economist to calculate the future income loss and an actuary to opine on the present value of that loss. Most experts on future income loss are quite capable of producing a present value calculation themselves.

[20] It is worth noting that despite having been invited in the defendants' costs submission to do so for comparative purposes, the plaintiffs did not disclose their docketed time or disbursements. While the onus rests upon the defendants to rationalize their cost demand, the disclosure could have been helpful.

[21] Under all of the circumstances discussed above, I am of the view that the fairest determination of costs is that the defendants are to be paid $50,000.00, inclusive of taxes, for fees plus a further $25,000.00, also inclusive of taxes, for disbursements. Each of the seven *Family Law Act* claimants are responsible for $5,000.00 of that total, with OHIP paying 2 percent of the total, and the main plaintiff Eric Winters being responsible for the balance. Lastly, all such costs are payable if demanded.

PARAYESKI J.

**Released:** October 8, 2014

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Plaintiffs

**- and –**

THE CORPORATION OF HALDIMAND COUNTRY, THE TOWN OF HALDIMAND, THE MUNICIAPL CORPORATION OF THE VILLAGE OF CAYUGA, GRAND ERIE DISTRICT SCHOOL BOARD

Defendants

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**COSTS RULING**

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**MDP:mw**

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| Defendants | |

**<u>AMENDED DECISION TO COSTS RULING</u>**

Amended decision: The text of the original ruling was corrected on November 12, 2015 and the description of the correction is indicated below.

November 12, 2015: The following paragraph replaces the corresponding paragraph in the original judgment issued on October 8, 2014.

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**PARAYESKI J.**

[21] Under all of the circumstances discussed above, I am of the view that the fairest determination of costs is that the defendants are to be paid $50,000.00, inclusive of taxes, for fees plus a further $25,000.00, also inclusive of taxes, for disbursements. Each of the six *Family Law Act* claimants are responsible for $5,000.00 of that total, with OHIP paying 2 percent of the total, and the main plaintiff Eric Winters being responsible for the balance. Lastly, all such costs are payable if demanded.

PARAYESKI J.

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**COSTS RULING**

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